resources are exhausted?" In answering his question, Graham wrote that it was a "notorious fact . . . that the typical American stockholder is the most docile and apathetic animal in captivity:"[24]

> *He does what the board of directors tell him to do and rarely thinks of asserting his individual rights as owner of the business and employer of its paid officers. The result is that the effective control of many, perhaps most, large American corporations is exercised not by those who together own a majority of the stock but by a small group known as "the management."*

He saw deep undervaluation as a prod impelling shareholders to "raise the question whether it is in their interest to continue the business," and "management to take all proper steps to correct the obvious disparity between market quotation and intrinsic value, including a reconsideration of its own policies and a frank justification to the stockholders of its decision to continue the business."[25]

Graham published *Security Analysis* just two years after Berle and Means, who had identified the principal-agent problem in public corporations, released their work. He cited Berle and Means's work with some agitation. They had submitted that it was "apparent to any thoughtful observer" that the effect of the separation of ownership and control was that the corporation had ceased to be a "private business device" and had become a public "institution:"[26]

> *[The] owners of passive property, by surrendering control and responsibility over the active property, have surrendered the right that the corporation should be operated in their sole interest—they have released the community from the obligation to protect them to the full extent implied in the doctrine of strict property rights. At the same time, the controlling groups, by means of the extension of corporate powers, have in their own interest broken the bars of tradition which require that the corporation be operated solely for the benefit of the owners of passive property.*

Graham rejected Berle and Means' argument that a corporation be regarded as something like community property that "serve not only the owners or the control group but all society." He doubted that the shareholders had intentionally "surrendered the right that the corporation should be operated in their sole interest,"[27] contending that the American stockholder had abdicated by default. Graham's view was "that corporations are the mere creatures and property of the stockholders who own them; that the officers